

Bentley Systems – the derate that already reversed

SECURITY BSY · Nasdaq · Class B	DECIDED AT \$35.36	PRE-BREAK LEVEL \$52.35 (–32%)	CONFIDENCE 7 / 10
VERDICT BUY – starter, ⅓ size	CHALLENGE BENCH REJECT · 8/10	REVIEW BENCH 5 of 13 kills overturned	DECISION GATE Q3 print · early Nov

Say the awkward part first. This is the smallest kind of yes. Four of the five kills we overturned failed the same way — the bear case read one side of a two-sided disclosure — and a pattern like that is what breaks an 8/10 rejection, not brilliance on our part. What survived is real and we are carrying it: the second-half margin promise is untested until November, and the company has almost no contracted backlog. That is why the position is one third of normal size rather than sized to the conviction.

We are buying a business whose reason for falling has already reversed, at a price that has not noticed. We are not buying a bargain.

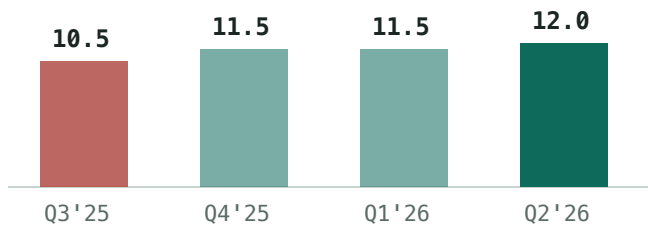
PANE 1 · WHAT WE BELIEVE

The break has a date, the cause has reversed, the price hasn't

Bentley broke on **November 5, 2025**: third-quarter recurring-revenue growth printed 10.5% in constant currency, down from 11.5%, and the stock fell 8.1% then 7.6% in two weeks against a software index down 5.2% and 1.9%. That was genuinely Bentley's own problem — conceded without argument.

Since then the same metric has printed 11.5%, 11.5%, and now **12.0% — the highest figure in the disclosed series**, 150 basis points above the number that broke the stock.

Account retention held at 99% and net retention at 109% the entire way through. The stock is still 32% below its pre-break level.



ARR growth, % constant currency

12.0%

series high · vs the 10.5% that broke the stock

The cause of the drawdown, quarterly. Red bar = the November 2025 break. Everything after it is recovery the price has not marked.

That is the whole thesis in one sentence: a dated, identifiable cause of a drawdown, which has since gone away, on a price that still reflects it. Everything else in this document defends that sentence or bounds what happens if it is wrong.

PANE 2 · WHAT THE MARKET BELIEVES

AI takes the engineers, the meter takes the hit

That software companies selling seats to engineers are about to lose those seats to AI — and that Bentley, infrastructure design software priced on how much engineers use it, sits directly in the path.

The sharp version deserves stating properly: Bentley's largest product line is not a seat licence at all. It is a meter that charges on how many distinct users open the applications each day. A seat licence survives to renewal; a daily meter falls immediately. On that reading Bentley is *more* headcount-exposed than a normal software company, not less. The mechanism is right. The reading of it, we think, is wrong — and the market's belief is coherent, widely held, and is what is keeping the price here.

The sensor for the feared damage is published quarterly – and nobody reads it

The metric everyone watches — 109% net retention — is a **twelve-month backward average**, structurally incapable of detecting a hazard customers are only "beginning to apply." But the usage meter itself is recognised on actual daily access and disclosed every quarter with at most one quarter of lag. It reads **+12.4%** year-over-year in the June quarter, against total revenue +12.8%, on a line that is 46% of recurring revenue.

Four-plus quarters into the AI-displacement story, the metric that would collapse first is growing in line with the company. The gap between what the market watches (twelve months of lag) and what actually measures the risk (one quarter) is roughly **three quarters of lead time**. That is the edge — and the exit: the same line tells us first if we are wrong.

A fair price for a compounder, not a distressed asset

At \$35.36 the enterprise is worth \$11.74B against free cash flow guided to \$500–570M — about 22× the midpoint, a 5.0% cash yield, roughly 26× adjusted earnings. Against 12% growth, 99% retention, 93% recurring revenue and a 31% cash-flow margin, that is cheap relative to Bentley's own history and to the reversal in its growth — and not cheap in absolute terms. If the reversal turns out to be priced after all, we own a fairly-valued business at a fair price. The two live problems — the untested second-half margin promise and the near-absence of contracted backlog — are handled in the plan below.

What we checked ourselves

Both benches' load-bearing claims, verified against primary filings. **KILL STANDS** means the bear point survived; **REFUTED** means it died on the primary source; **PARTLY** means the magnitude was right and the framing wrong.

CLAIM TESTED	WHAT THE PRIMARY SOURCE SHOWED	RULING
Usage meter has unbounded downside	The sentence the bear quoted continues: contracts "typically contain floors or ceilings on usage charges" — quarterly floors, in the audited notes. Revenue falls to the floor, not toward zero.	REFUTED
The meter is already falling	It grew +12.4% (\$150.2M → \$168.7M) on 46% of recurring revenue. The bear built the hazard model, then declined to read the gauge.	REFUTED
"88% of the drawdown predates the AI story"	The identical calculation on the software index returns 80.7% — a statistic that gives the same answer for the whole cohort can't single out Bentley. Peak-to-2026-low, 38% of the fall came after year-end.	REFUTED
Organic growth never disclosed	The CFO discloses it in the document the bear cited: 11.5% ARR growth with "less than half of a percent" from acquisitions.	REFUTED
Customer funding drying up (deferred revenue −5.4%)	One line above: prepaid usage deposits +\$33.0M to \$496.3M, inflows accelerating +36%. Combined customer-funded balances are up.	REFUTED
Buyback is window dressing (shares −0.19%)	Wrong share count. Diluted shares −4.17%, driven by retiring \$678M of converts — the same swap that explains the interest expense counted as a separate kill.	REFUTED
Earnings growth is non-operating	The clean number is published beside it: \$0.32 → \$0.35 excluding the \$15.6M item. But the honest core stands — adjusted profit grew only +3.9% on +12.8% revenue.	PARTLY
Free cash flow guided flat; H1 fell 8%	Q2 reversed it (+11.9%); trailing-twelve-month recomputes to +14.9%; the flat guide <i>is</i> the new cash interest — pre-interest cash flow guided +7.4%. One fact counted twice.	PARTLY

Full-year margin needs a violent second half	First-half margin 30.8% vs a guide implying a ~310bp second-half swing. Mitigants exist (Q4 seasonality, a one-off systems go-live) — none discharge the burden. This is the gate.	KILL STANDS
12-month retention proves no damage	It can't — wrong instrument for a recent hazard. The right instrument is the usage line, one row up.	UPHELD (as a limit)
Metric redefined 3× in 18 months	True comparison is –151bp not –100bp — but disclosed, footnoted, restated, and sized at \$1.8M / 44bp. A governance note, not a kill.	PARTLY
2027 interest repricing unrecognised	Real (~\$32M/yr on \$575M of 0.375% notes, mid-2027) and on the watch list — but already carried in printed adjusted earnings that still grew 9.4%.	PARTLY
Our own triage: "fell 3.6% to ~\$34.74"	Wrong — it gapped to \$34.02 and closed \$35.36, –1.89%; the gap was bought. Recorded against our own side.	OUR ERROR
Federal stimulus drives demand	The infrastructure act appears zero times in two annual reports and the latest quarterly. Bull point dropped. What holds: ~42,000 accounts, 189 countries, none above 2% of revenue.	BULL POINT CUT

The finding the pro-stock bench filed against its own side

Bentley has almost no contracted backlog. Committed future revenue is \$280.6M — about 19% of one year's revenue, 94% of it inside twelve months, and it declined sequentially while revenue grew. Durability here is *behavioural* (99% account retention, 109% net retention, a \$496M prepaid balance), not contractual. That is a legitimate reason to own less of this than of a comparably-growing company with a committed book — and it is the single clearest reason the position is capped at one third.

EXECUTION

The plan

\$35.40 NOW · AT TAPE	Starter — 450 shares, ~\$16k, ~35bp of the book. Limit at the tape for spread protection only; explicitly <i>not</i> fishing for weakness. The thesis is that the cause already reversed — waiting for a lower price is waiting for the thesis to get worse.
\$31–32 AFTER NOV ONLY	Second third — price plus proof. The June–July consolidation shelf, and only if the November quarter delivers the promised second-half margin inflection. A cheaper price on a failed gate is a different security: that becomes an exit, not an add.
<\$30 IF OFFERED	Final third near the June low, where flat cash flow is fully paid for. Do not chase above \$38 before the November print.
EXIT ON TRIPWIRE	No premium selling against the position (taxable book — non-deferrable ordinary income). Resting limits at \$32 and \$30 do the accumulation instead.

Tripwires, ordered by how early they fire

≤ 1 quarter lag

Usage revenue growing slower than total revenue. +12.4% vs +12.8% today — already marginal, which is the honest way to hold it. Below ~+9% is thesis damage: cut. This fires roughly three quarters before the headline retention metrics could show the same thing — the lead time is the entire reason we own a behaviourally-durable revenue stream at all.

~1 quarter

Customer deposit inflows turn negative. Enterprises stop pre-funding the meter before they stop using it. Currently +\$37.3M vs +\$27.4M — accelerating.

quarterly print

Constant-currency ARR growth back below 11.0% — re-establishes the November 2025 cause.

mid-2027

The \$575M notes refinance above ~SOFR+200 — re-cuts forward cash flow.

The November gate decides everything. Margin lands per guide and the usage line holds → the \$31–32 add is authorised. Margin misses → exit the starter; the court

reconvenes only on new evidence.

HONESTY SECTION

What remains unverified

One hole, reported rather than inferred around: we could not complete independent labour-market work on infrastructure-engineering employment. The steelman that these engineers are not easily displaced rests on Bentley's own usage meter and management's framing, **not** on outside employment data. A coverage gap, not a clean bill — and the first thing to fill if the usage line wobbles.

Also carried: a long-standing question about a strategic overhang from a large industrial shareholder appears stale — absent from the current proxy and latest quarterly — but the search budget expired before independent confirmation. Treat as unresolved, not cleared.

Signal05 · adversarial court record · red bench REJECT 8/10 (2026-08-06) → blue bench overturned 5 of 13 kills (2026-08-07) → adjudicated STARTER $\frac{1}{3}$, confidence 7/10

Artifacts: BSY_COURT_RED_20260806 · BSY_COURT_BLUE_20260807 · pitch_BSY_2026-08-07 · resolution pack BSY|2026-11-05 · staged instruction #100 (450 @ 35.40 DAY)

Sources: BSY 10-K/10-Q filings & quarterly releases (sec.gov) · IBKR tape · all claims table-verified against primary documents